Options-Based Portfolio Protection

Does buying downside protection justify its cost when simply holding less equity is available?

Historical benchmarks plus synthetic option models | 5 November 2026

THE RESULT The retrospective daily comparison reports put protection at 9.31% CAGR / -22.14% drawdown and collars at 9.12% / -17.23%, versus SPY at 14.38% / -24.50%. A 50/50 cash control reaches 9.03% / -12.44%, making the opportunity-cost comparison central.

APPROACH

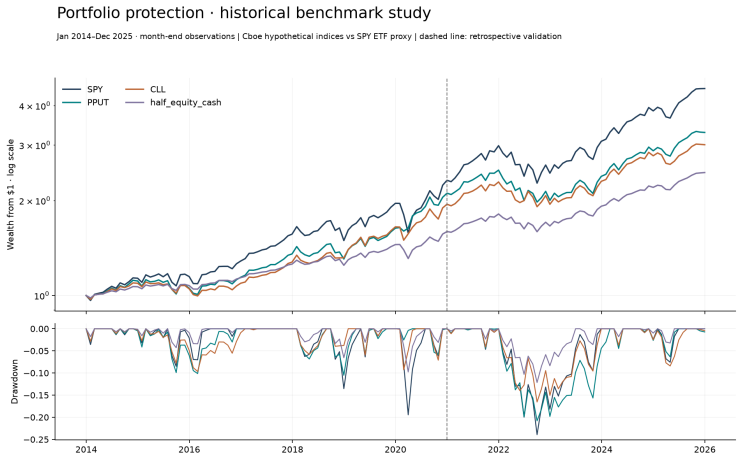
A 2014-2025 benchmark study is paired with a complete daily 2021-2025 comparison and funded model ledgers. Puts and collars are evaluated against SPY and explicit equity/cash controls; frozen model selections face independent stress experiments.

SCOPE & LIMITATIONS

Cboe benchmarks are hypothetical indices, not fills. Earlier daily coverage is incomplete; monthly drawdowns miss intramonth losses. The 2021 split is retrospective. Synthetic option paths and static premium sizing do not reconstruct historical option-chain execution.

EXPLORE

Open the two executed notebooks and historical memo. Run python scripts/verify_results.py and python -m unittest discover -s tests -v; notebook defaults are offline.



Retrospective benchmark study; see historical memo for definitions.

SOURCES results/historical/RESEARCH_MEMO.md · docs/VALIDATION.md · results/historical/summary.csv

Prepared 5 November 2026. Sources, dated observations and full methodology are available in the project repository.